FILE 527-06

ORGANIZED CRIME REVIEW UNIT · MCCJ 527

CASE: WAR DOGS

The arms deal that turned two young men into an organized criminal enterprise

SUBJECT FILM	War Dogs (2016), dir. Todd Phillips
INVESTIGATED BY	Group 6: Rolls 27, 8, 37, 33, 24, 21
UNIT	Dept. of Criminology, University of Dhaka

CLASSIFIED

FOR CLASS REVIEW

Case summary: a true story filed under comedy

FILM DETAILS

TITLE	War Dogs (2016)
DIRECTOR	Todd Phillips · Warner Bros.
GENRE	Crime comedy-drama, based on true events
STARRING	Jonah Hill, Miles Teller, Ana de Armas, Bradley Cooper
SOURCE	Guy Lawson, Rolling Stone (2011); Arms and the Dudes (2015)

CENTRAL THEME

Profiting from war without ever fighting in it: the grey zone where business, state and crime overlap.

KEY EVIDENCE

CONTRACT VALUE

$298 million (2007)

BUYER

US Army, for the Afghan National Army

SUPPLIER ORIGIN

[redacted] *(later revealed: China)*

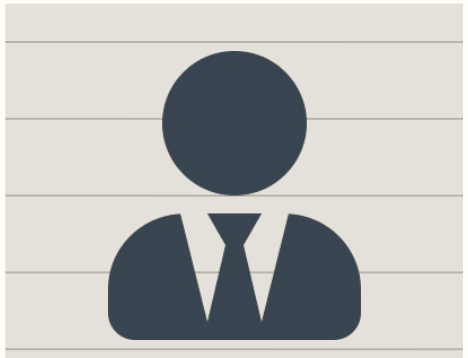
OUTCOME

4 yrs prison · 7 months house arrest

TRUE STORY

Sources: Phillips (2016); Lawson (2011, 2015).

The suspects: four men, four roles, one enterprise

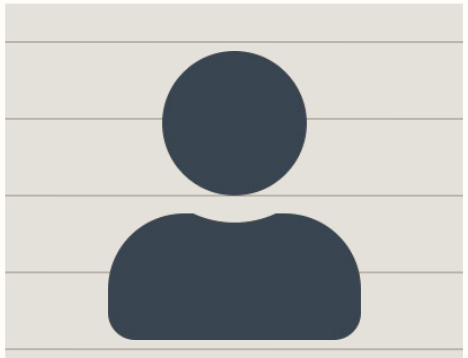


01 · EFRAIM DIVEROLI

Played by Jonah Hill

Founder of AEY Inc.; deal-maker and risk-taker

STATUS: 4 YEARS IN PRISON



02 · DAVID PACKOUZ

Played by Miles Teller

Broke masseur turned partner; the film's narrator

STATUS: 7 MONTHS HOUSE ARREST

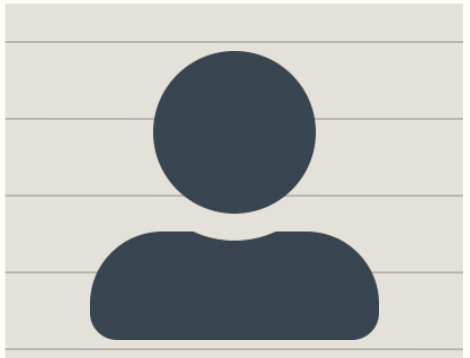


03 · HENRY GIRARD

Played by Bradley Cooper

Watch-listed arms broker with Albanian supply

STATUS: COMPOSITE CHARACTER



04 · RALPH SLUTZKY

Played by Kevin Pollak

Financier who funds the deals

STATUS: BASED ON A REAL BACKER

Silhouettes are illustrative. Henry is inspired by broker Heinrich Thomet; Ralph by financier Ralph Merrill (Lawson, 2015).

How the operation unfolded, in five phases

PHASE 1

The crumbs

AEY bids online for small Pentagon contracts that big firms ignore.

PHASE 2

The Iraq run

A stuck pistol shipment is pushed through Jordan into Iraq using fixers.

PHASE 3

The broker

Henry opens access to ~100 million rounds stored in Albania.

PHASE 4

The fraud

The rounds are Chinese-made and banned; they are repackaged to hide it.

POINT OF NO RETURN

PHASE 5

The collapse

Betrayal, exposure in 2008, prosecution and sentencing.

Exhibit A: AEY meets the UN definition of organized crime

EXHIBIT A

UNTOC, Article 2(a): "a structured group of three or more persons, existing for a period of time and acting in concert…"

- **Structured group of 3+ persons**
  Efraim, David, Ralph, Henry and the Albanian suppliers, each with a role
- **Existing for a period of time**
  Operated over several years, not a one-off offence
- **Committing serious crime**
  Fraud on the US government, conspiracy, breach of an arms embargo
- **For financial or material benefit**
  Millions in profit from the Afghan contract

FINDING

All four criteria are met. Under international law, AEY is an organized criminal group.

"Serious crime" = punishable by at least 4 years. A formal hierarchy is not required.

CRITERIA MET

Source: UNODC (2004), United Nations Convention against Transnational Organized Crime, Art. 2.

Exhibit B: but AEY is not the mafia

EXHIBIT B

Abadinsky's (2013) attributes of traditional organized crime

✓ **Non-ideological, profit-driven** Fits	✗ **Hierarchical ranks** Does not fit
✗ **Exclusive membership, rituals** Does not fit	✗ **Survives arrest of its leaders** Does not fit
✓ **Violence or bribery** Partly fits	✓ **Specialized roles** Fits
✓ **Seeks monopoly** Partly fits	✗ **Rules or code of conduct** Does not fit

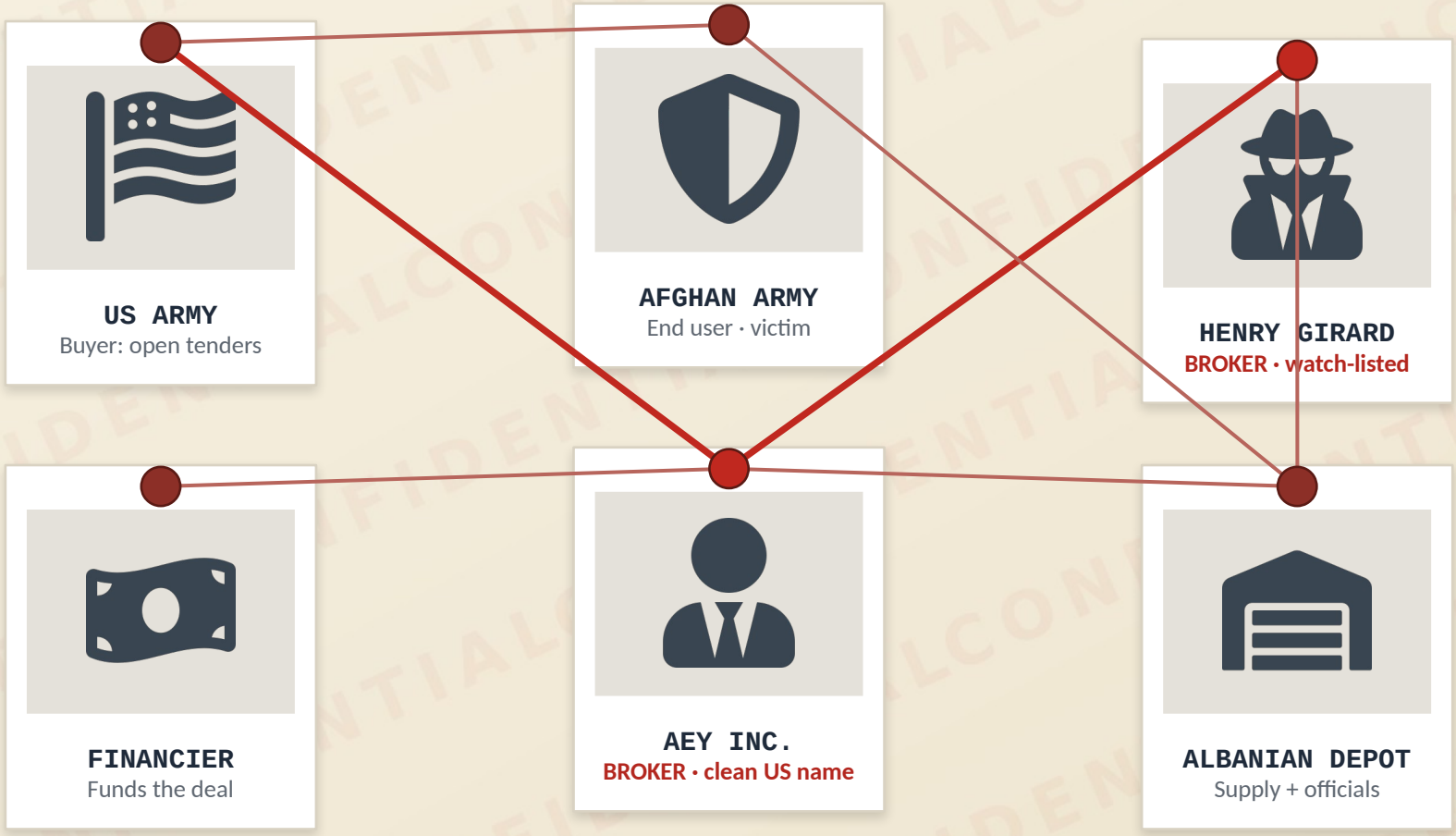
CLASSIFICATION

Organized white-collar crime

A legal company committing organized, transnational fraud (Sutherland, 1940). It didn't look criminal, so no one checked.

NOT THE MAFIA

Link analysis: the brokers in the middle held the power



ANALYST NOTE

Brokerage: power sits with whoever connects worlds that can't reach each other (Morselli, 2009).

Crime–terror nexus: Henry is barred from US trade, so AEY lends him a clean name.

Which model explains the enterprise? Analyst confidence ratings

Enterprise model Smith (1980)	CONFIDENCE: HIGH	Legal and illegal business on one spectrum. AEY slid from legal bids, to fixers, to fraud as demand grew.
Network model Morselli (2009)	CONFIDENCE: HIGH	Brokers bridging the Pentagon and Balkan stockpiles held the real power.
Patron–client model Albini (1971)	CONFIDENCE: MEDIUM	Henry acts as a patron, trading access to supply for a share of the profits.
Hierarchical model Cressey (1969)	CONFIDENCE: LOW	No ranks, no code, no “family”: everything rested on Efraim.

Confidence ratings are the group’s assessment.

Motive analysis: why two ordinary men chose fraud

1 Strain / institutional anomie

Merton (1938); Messner & Rosenfeld (1994)

Broke with a baby coming, David “innovates”: legitimate goal, illegitimate means. Money overrides family.

2 Differential association

Sutherland (1940)

David learns the methods and the excuses of fraud from his friend Efraim.

3 Rational choice

Cornish & Clarke (1986)

Repackaging banned rounds: a huge reward weighed against a small chance of detection.

4 Techniques of neutralization

Sykes & Matza (1957)

Paraphrased excuses: “the troops still get working bullets” (denial of injury); “the government does it too”.

The system made it possible: C = M + D – A

Corruption: the abuse of entrusted power for private gain (Transparency International). Formula: Klitgaard (1988).

M — MONOPOLY

Henry controls the only access to cheap Balkan ammunition, so everyone must pay him.

D — DISCRETION

Officials, fixers and border agents decide with little scrutiny; middlemen skim profits.

A — LOW ACCOUNTABILITY

Wartime urgency: a company run by a man in his early twenties passes Pentagon vetting.

STATE-CORPORATE CRIME The harm grew from a government policy of outsourcing war logistics to the lowest bidder, not just from two rogue individuals (Kramer et al., 2002).

Accurate in substance, exaggerated in style

CORROBORATED

Breaks the mafia stereotype: crime as business

Fits the UN definition, enterprise and network models

Offenders who never see themselves as criminals

Real facts: $298M contract, the repack, the sentences

UNRELIABLE OR OMITTED

Comedy glamorizes money and softens the fraud

Henry is a composite; Albanian threats invented

Blames two men, not the system that let them in

Omits Gërdec depot blast, 2008: 26 killed

Sources: Lawson (2015); Al Jazeera (2008). Assessment is the group's own.

FILE 527-06

FINAL REPORT · CONCLUSION

Organized crime doesn't always carry guns. *Sometimes it sells them, with a government contract.*

CASE CLOSED

VERDICT

Organized crime under the UN definition, but not the mafia: organized white-collar crime.

RECOMMENDATION FOR BANGLADESH

Vet contractors, disclose real owners, check where goods come from: procurement oversight is crime prevention.

Thank you. *Questions?*

Investigated by Group 6
Rolls 27 · 8 · 37 · 33 · 24 · 21